

GS US TMT: ... inflections [GOOG, IBM, NOW bull/bear debates] ..

FICC and Equities

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GS US TMT: All references to "we/us/our" refer to the views and observations of the desk.

GS US TMT: ... inflections + x-throughs [GOOG, IBM, NOW] ..

A busy night of action in TMT overnight – run down of big picture takes (AI/ capex + IT Spending), biggest stock debates (GOOG. IBM. NOW) and read-throughs to watch

The Big Picture:

1. Can **GOOGL** (and hyperscaler peers – yes, all eyes on **META's** capex/opex ambitions into 2026+) digest another step up in capex (GOOG: GSe ~\$102bn in '26 capex, alongside D&A growth of 44% y/y to ~\$33bn)? ..
The general view in the market has been that as long as revenues are strong (yes, in part an output of macro) and there are visible ROI signs (see Google Cloud re-accel to 32% y/y and inflecting Gemini infusion), investors are generally comfortable green lighting GenAI investments (though yes, some may argue that it's still just "easiest" to own NVDA & co' in the infra stack)
2. IT / Enterprise Tech Spend ... is an inflection (↑) on the come? ...
some pretty notable (+) inflections from **IBM** (ceo: "I've turned from being, I use the word cautious optimism at the end of the first quarter, I would now turn my way all the way to optimism around the macro environment")
and **NOW** (ceo: "I don't think the demand environment changed dramatically. I think the demand environment is wide open for AI innovation.") – to be more detailed here, **IBM** spoke to healthy geos (Japan, S Asia, Middle East) as well as the case for 'why enterprise technology is

going to remain a strong grower somewhere in the 5%, 6%, 7% range [ceo, conf call] ...

The debates today:

GOOGL +4% in pre ... despite some tactical debate on px' action (e.g. consensus "beat and fade" / capped view into print as it may be hard to make new ATHs with Search/DOJ unknowns) ... it does feel like the 'rate-of-change' is increasingly leaning towards the Bull camp ..

BULLS .. cheapest mega-cap (18x '26 GAAP EPS ex-cash) .. very robust topline (Search & YT now solidly DD y/y growth with easing y/y comps into 2H/1Q) .. Google Cloud is a force to reckon with (re-accel to low-30s y/y with OMs +900 bps y/y) ... the AI bear case is set to take a breather (Paid Clicks unexpectedly re-accel), if not become a tailwind (multi-surface approach to AI, including distribution at scale) .. YouTube is (very?) under-appreciated (+13% y/y growth w/ very strong qualitative commentary on the rising impact of both Shorts and subscription revenue) ..

BEARS .. capex going up a lot (just adds 'pressure' to sustain topline) ... lack of OM expansion despite revenues upside (Google Services OMs flat y/y) ... modest downtick in buyback pacing (~\$13.6bn, down from \$15-16bn range) ... lingering AI debates (competition + shifting consumer behaviors) .. uncertainty into DoJ/Search = hard to ignore .. FCF has stagnated over last 4-5 years (~\$65-70bn range)..

NET/NET (desk take): Is the GenAI 'bear case' defeated ... ? ... don't think 'defeated', but similar to other 'overhangs' out there (think: UBER vs AVs), it could potentially fade into background – for now (until the next headline / datapoint) – as paid clicks re-accel'd and the proliferation of Gemini / AI across the portfolio looks front footed. So, while there is some acknowledgement that there could be a local ceiling on GOOG (all eyes on potential DoJ/Search trial outcomes), but, pending that outcome – the story arguably starts to set-up well into 2026 (inflecting Cloud, robust YT/Search, AI productization, GAAP valuation) ...

Sheridan/GIR remains convicted in his BUY-rating – ([link to note](#)): “We continue to be of the view (contrary to some negative investor sentiment currently) that Alphabet can successfully navigate the current multi-year evolution of its core Search product by leveraging its current strengths (existing user base; leading product innovation, which is accelerating in pace; technical infrastructure footprint and cost leverage vs. competitors; etc.). We found Alphabet mgmt team’s commentary on the earnings call supportive of a multi-surface approach to AI that might end up tailored to an array of query length/intent/format that could drive key points of differentiation in the competitive landscape.” [GIR]

IBM -6.5% in pre .. this is among the most DEBATED stocks in large-cap tech (alongside ORCL & UBER) ..

Incremental feedback is from the BEARS overnight as IBM fell short of the 2 key measuring sticks – Software momentum (SW missed & decel’d in the quarter largely due to a pullback in Transaction Processing with organic SW growth ests in the ~3-4% y/y range) and FCF revisions (very modest ‘tweak’ to FY guide) [not to mention, IBM's Consulting bookings declined 18% Y/Y given difficult comps]

..... that said, it doesn’t feel like the full BULL case will be fully shaken out today as Bulls can point to clear upside in Margins (~2pt GMs beat), a very confident tone in Software into 2H / 2026 (yes, path to re-accelerating SW growth ahead – esp with Red Hat accelerating in 2Q alone coupled with mainframe attach on the come), some ‘green-shoots’ in Consulting (per IBM), a very strong Mainframe cycle (with SW monetization / attach on the come) and then a FCF story that has upside (in 2H).

Jim/GIR remains BUY rated as he believes the company is on track to complete its pivot to long-term growth fueled by stronger software growth and long-term market share gains in Consulting - and thinks the stock can re-rate higher as software mix improves and margins move higher ([gir take](#))

NOW +8% in pre .. feels like bears have been around the hoop here (EV/S multiple vs pot’lly slowing

topline) ... but last night will likely pressure that view (?) given 2H/2026 set-up ..

I anticipate some debate today if NOW can attract an active bull camp (not just a “yeah, NOW is solid” vibe that feels like is out there) and move into ‘must own’ software in the current AI backdrop (or, at least ‘can own’ Software) -- along the ORCL, MSFT, SNOW, NET, CRWD types ...

... hard to find too much to nitpick on in NOW’s results overnight (~200 bps beat on Subs Revs / cRPO) or in their commentary (very upbeat tone) – giving way to an arguably attractive 2H / 2026 set-up (.. “conservative” 3Q guide -> a large renewal cohort (4Q) creating a meaningful opportunity to upsell Pro Plus -> AI upside / optionality into 2026 as AI NNACV again beat internal expectations in 2Q ..)

So what’s the bear camp? .. likely an argument that 2Q had some pull-forward benefit (per CFO commentary ‘some early on-prem renewal’), 3Q guide is an implied ~350 bps decel and the company is already “priced” for 20%+ growth (so results are just “necessary” to sustain these levels) – otherwise, still plenty of unknowns in the AI arena and OMs are not going up as many would have thought given their efficiencies.

Kash/GIR remains BUY-rated – noting ([link to note](#)): “ServiceNow’s AI execution is driving deeper consolidation, expanding AI budget share and positioning it to at least meet its FY26 \$1B AI ACV target. Revenue contributions should scale meaningfully in FY26 and become a prominent growth driver in FY27 as usage ramps and Assist packs gain traction. ServiceNow’s AI-led transformation across front-office CRM, back-office operations, and cross-functional domains positions it as a foundational layer in the enterprise AI stack. We see the combination of strong execution, expanding product breadth, and accelerating AI monetization supporting a durable 20%+ growth trajectory (w/ 30%+ FCFM’s).” [GIR].

Datapoints & read-throughs today

Semis / AI Infra (+) read as **GOOG** 2Q capex accel’d to +70% y/y and Alphabet (unexpectedly) raised it’s 2025 capex outlook to \$85b (a ~13% increase from prior guidance) with commentary of a roughly ~2/3 vs. ~1/3 split of total

technical infrastructure capex between servers vs. data centers as well as the company pointing to growth in 2025 (GSe +15% y/y capex in '26) – yes, watch [NVDA](#), [AVGO](#) & others.

IT Services / Consulting .. after 'ok' / benign results from [INFY](#) yday, [IBM](#) Consulting revs were inline with expects (down 0.3% in CC) with b-t-b at 1.14x and a strong GenAI consulting backlog (~80% of IBM's \$7.5bn total GenAI bookings = consulting related), albeit offset by Total consulting signings down (18% y/y cc) ..

Ads broadly (+) read from Search and YT beats in 2Q - watch [PINS](#), [SNAP](#), [TTD](#), [RDDT](#), [META](#), [APP](#) types ... though, we have to wait for next week for the next Ad datapt on earnings).

The Public Cloud ACCELERATIONS are playing out with Google Cloud's big accel to +32% y/y (follows Azure and OCI) – watch [MSFT](#) Azure and [AMZN](#) AWS (.. and, I guess, the infra / consumption names – [MDB](#), [NET](#), [DDOG](#), [CFLT](#), [SNOW](#) etc ..)

Software (+) read from NOW's solid cRPO results/guide should (could?) ease near-term Enterprise SW concerns (.. at least, for now) – especially given commentary from IBM on a very solid IT spending backdrop.

AVs .. [Google Waymo](#) noted autonomous drive now >100mn miles driven and currently testing 10 cities this year (NY, Philly) and "hope(s) to serve riders in all 10 in the future" .. and [TSLA](#) spent a lot of time on Robotaxis last night, noting: "And I think we'll probably have autonomous ride-hailing in about half the population of the U.S. by the end of the year. That's at least our goal, subject to regulatory approvals. I think we'll technically be able to do it. So assuming we get regulatory approvals, it's probably addressing half the population of the U.S. by the end of the year."

Semis ... some signs of fatigue in non-AI pure-plays in Semis during 2Q EPS season ... [STMicro](#) -14% in EU (now down 18% in 2-days) on weaker Autos results + softer 3Q margins guide .. [FLEX](#) -4.5% in pre' despite a solid beat-and-raise .. [TXN](#) -13% yday (second worst day in 25+ years), [ASM International](#) -11% yday (... follows [ASML](#) -11% last ewek) and [APH](#) ~\$15 peak-to-trough intra-day roll yday) on the bright-side, [MXL](#) +30% on a beat/raise and upbeat order commentary and [BE Semi](#) +5.5% in EU on a beat ...

Consumer .. don't think much of a read-through here at all to TMT .. but our Consumer team has been flagging **CMG** -10% in pre on a SSSG miss/cut as a surprising and incremental datapoint for the consumer landscape to digest ..

Chart that stand-out

Sheridan/GIR updated his Capex (& expense) outlook overnight ... yes... capex is modeled to 3x from 2023 (~\$33bn) to 2026 (~\$102bn), which, compares to revenues up 50% over that period ..

Exhibit 1: GOOGL - GSe Revenues, Capex, D&A and GAAP Expense Growth

\$mm, 2023-2030E

	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
Total Revenues (Net)	\$ 256,508	\$ 295,118	\$ 334,627	\$ 377,761	\$ 424,416	\$ 474,047	\$ 525,683	\$ 578,688
% y/y growth	9.7%	15.1%	13.4%	12.9%	12.4%	11.7%	10.9%	10.1%
Total Capex	\$ 32,251	\$ 52,535	\$ 84,749	\$ 101,699	\$ 116,954	\$ 128,649	\$ 141,514	\$ 155,665
% y/y growth	2.4%	62.9%	61.3%	20.0%	15.0%	10.0%	10.0%	10.0%
% capital intensity	12.6%	17.8%	25.3%	26.9%	27.6%	27.1%	26.9%	26.9%
Total GAAP Expenses	\$ 172,215	\$ 182,728	\$ 206,548	\$ 232,247	\$ 261,394	\$ 291,879	\$ 321,450	\$ 350,261
% y/y growth	8.3%	6.1%	13.0%	12.4%	12.5%	11.7%	10.1%	9.0%
Total D&A	\$ 13,326	\$ 15,311	\$ 22,888	\$ 32,947	\$ 43,912	\$ 55,557	\$ 67,672	\$ 79,109
% y/y growth	-12.8%	14.9%	49.5%	44.0%	33.3%	26.5%	21.8%	16.9%
Total GAAP Expenses (ex-D&A and one-timers)*	\$ 154,956	\$ 166,110	\$ 181,968	\$ 199,300	\$ 217,482	\$ 236,322	\$ 253,778	\$ 271,152
% y/y growth	8.7%	7.2%	9.5%	9.5%	9.1%	8.7%	7.4%	6.8%

*one-timers include reported restructuring charges & legal accruals of ~\$3.9bn in 2023, ~\$1.3bn in 2024 and ~\$1.7bn in 2025E

Source: GIR: <https://marquee.gs.com/content/research/en/reports/2025/07/24/e923fb88-a92c-482e-a2f5-3ccdb13229ee.html>

Peter Callahan